

# **Module 12**

# **Business Finance**

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## **Answers**

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The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

## **SECTION A – CASE QUESTIONS (Total: 50 marks)**

### **Answer 1**

The McKinsey and Company 7S model, with its seven organisational elements (strategy, structure, systems, staffing, skills, style, and share values), should be used to evaluate Lucky's internal factors to help HKS organise and manage its mega events business successfully in Hong Kong.

Shared values refer to the priorities, values, and virtues that are included in Lucky's culture and business. Lucky aims to be the top global mega event organiser by providing excellent event organising and management services to advertisers, sponsors, and participants, which should also be one of HKS's core values. Lucky should leverage their global practices and values to set up HKS to operate in line with Lucky's values so that HKS can successfully organise and manage mega events in Hong Kong in line with the shared values of Lucky.

Strategy refers to planning, processing, and related activities for creating and sustaining a competitive advantage for Lucky in the mega events business. Since the Hong Kong SAR government is determined to develop Hong Kong's mega events economy, Lucky would like to develop a new business strategy and establish a subsidiary that will create and sustain a competitive advantage in organising and managing mega events in Hong Kong. Under this new strategy, Lucky can leverage their global networks and their event organising and management business strategies to use in HKS to further develop its mega event business.

Structure refers to the organisational structure of Lucky used to operate their mega event businesses. Lucky has been utilising an informal and flat organisational structure that empowers business unit operating managers and staff to make business decisions flexibly for different mega events. This organisational structure is also appropriate for HKS to use. Lucky can establish HKS as an independent investment centre with full autonomy to organise and manage mega events in Hong Kong. Lucky can use return on investment to measure the operating and financial performance of HKS and to decide annually whether HKS should continue to operate.

Systems refer to key mega event organising and managing processes and the information system used by Lucky. The centralised enterprise resources planning system located in London is used by Lucky to organise and manage mega events globally. It has been used to sell tickets and to collect ticket fees, sponsorship, and advertising revenue for each event and, as a result, the system has been overloaded. Therefore, the centralised system may not be suitable for use in HKS. Rather, HKS should set up their own enterprise resource planning system to record all financial and non-financial data of mega events organised in Hong Kong for managerial, financial, and tax reporting purposes. The Hong Kong system can be linked to the London system for reporting purposes only. This setting would help avoid overloading London's system and could enhance data management and security in HKS.

Staffing refers to the human resource management processes used by Lucky to organise and manage mega events globally. Lucky has very experienced managerial and operational staff supporting its mega event businesses in London. For HKS, Lucky has decided to recruit managerial and operational staff to operate their subsidiary in Hong Kong. Since this is Lucky's first time recruiting managerial and operational staff in Hong Kong, Lucky should consider appointing recruitment agencies that are familiar with human resources management and recruitment in Hong

Kong to recruit staff for the subsidiary. Lucky should also comply with Hong Kong Labor Law when they recruit and hire staff in Hong Kong.

Skills refer to the abilities of managerial and operational staff to organise and manage mega events and build capacity for competitive advantages. All managerial and operational staff have been equipped with competent skills to organise and manage mega events in London. Since all HKS staff will be recruited in Hong Kong, they should also be trained in the London office to familiarise themselves with organising and managing mega events based on Lucky's policies and practices. Moreover, Hong Kong managerial and operational staff should also learn how to use the global networks and systems of Lucky to organise and manage mega events in Hong Kong. Since some mega events are supported and sponsored by the Hong Kong SAR government, Hong Kong managerial and operational staff should learn how to negotiate and work with local government authorities when they organise and manage mega events in Hong Kong.

Style refers to the interpersonal relationships, such as communication and decision making, between management and staff utilised when operating within the mega events business. Since Lucky's operations utilise an informal style, with different management and operational styles used to organise and manage different mega events globally, and this is a competitive advantage of Lucky, HKS staff should also be trained to adopt this informal communication and decision making management style to align with London to organise and manage different mega events and to avoid cultural clash with the London office's management and business practices.

## **Answer 2**

To: Board of Directors of Lucky  
From: Financial Controller  
Date: xx/xx/2024  
Remarks: Evaluation of strategic, operational, and security risks of establishing a subsidiary to organise and manage mega events in Hong Kong

Lucky has been considering establishing a subsidiary to organise and manage its mega event business in Hong Kong. This report summarises the strategic, operational, and security risks of the proposed establishment.

The strategic risk of organising and managing mega events is very high because it is a high-profile business that involves different stakeholders. In addition, there are many uncertainties and uncontrollable factors, such as adverse weather conditions and human errors, that can happen during mega events and which could cause monetary and non-monetary losses to Lucky if HKS fails to complete affected mega events successfully. In addition, to organise and manage mega events the subsidiary would need to work with Hong Kong business partners, such as the Hong Kong SAR government, which would be completely new to Lucky.

Lucky will incur higher setup cost to set up a subsidiary in Hong Kong. Lucky will also face higher strategic risk in expanding their business to Hong Kong because they are not familiar with Hong Kong the mega events business environment and practices therein. As such, this would increase the chances of making mistakes, causing monetary and non-monetary losses to Lucky.

Lucky will face operational risks that can arise from: human error and fraud; processes and procedures; and technology and systems—all of which are often interrelated and may be caused by a combination of events. Since this would be the first time for Lucky to organise and manage mega events in Hong Kong, London business processes and procedures, such as selling tickets and collecting online payments, may not be applicable in Hong Kong. Some business processes and procedures should be amended and tailor-made to comply with Hong Kong local practices and laws that are new to Lucky—all of which could increase operational risks.

Lucky needs to hire and train new managerial and operational staff to organise and manage mega events in Hong Kong. This creates another operational risk to HKS, since it may not be easy to hire new staff in the existing tight labour market. Even if new staff are hired, they may not be familiar with Lucky's business practices and systems, which will increase the chance of making human errors and the risk of fraud. Therefore, Lucky will need to send senior management from the London office to manage the subsidiary in Hong Kong.

Lucky will face higher security risks when they allow HKS to link to its centralised enterprise resource planning system that was already overloaded in London. Lucky will encounter increased security risks in human errors, system failure, lost data, and fraud, which may cause monetary and non-monetary losses to Lucky.

Lucky will face an increase in cybersecurity risks when processing online transactions and potential unauthorised access to ticket orders and payment systems. This situation will arise when HKS starts to sell tickets and collect payments for mega events using the new Hong Kong system, with the results also being reported to the system in London. This may increase cybersecurity risks and cause disruptions of Lucky's overloaded centralised enterprise resources planning system.

### **Answer 3**

HKS should use the FRICTO framework, which includes flexibility, risk, income, control, and timing, to evaluate and choose financing strategies.

Flexibility refers to alternative sources of finance that HKS could use to organise and manage its mega events business in Hong Kong. HKS is a newly set up company that does not have many choices for obtaining alternative sources of financing. HKS cannot obtain equity financing from the public because it is a private company and can only obtain equity financing from Lucky. HKS is not able to obtain a credit rating due to HKS's lack of business records and history, so HKS cannot issue debt instruments to obtain debt financing from the public. HKS also has limited flexibility with obtaining long-term debt financing as Lucky may close HKS down if its financial performance does not meet Lucky's requirements. Therefore, Lucky should consider using short- and medium-term financing to operate mega events in Hong Kong.

Risk refers to the ability of HKS to pay off its financial obligations. Since there are many uncertainties with organising and managing mega events, it may cause monetary losses to HKS if a mega event is not completed due to uncontrollable circumstances, such as adverse weather conditions. HKS may need to pay suppliers and also refund participants and advertisers. HKS should thus use debt financing to match the duration and risks of mega events to ensure sufficient financing is available to operate mega events.

Income refers to the impact of different financing alternatives on the returns to Lucky, such as return on equity or earning per share. HKS must ensure that it generates sufficient return on equity or earning per share in its annual review so that they can continue their operations in Hong Kong. Since debt financing generates higher earnings per share and return on equity, HKS should consider using debt financing to finance their operations in Hong Kong.

Timing refers to the current economic and capital market environments that affect HKS's financing options. Since HKS cannot issue shares to the public in Hong Kong, the changes in capital market may not be the prime concern for HKS's financing decision. Nevertheless, the looming capital market can stimulate more economic activities, and more mega events may be organised that may improve the business and financial performance of HKS. Debt financing will be more attractive to HKS as the interest rate has reached a ceiling and is likely to decrease, which may reduce the cost of debt to HKS if it decides to use short-term and medium-term debt financing to support its mega events business in Hong Kong.

Control refers to how various financing options affect HKS and Lucky's ownership and control. Since Lucky wholly owns HKS's and HKS cannot issue shares to the public, there is no dilution of ownership issues. For debt financing, debt covenants may impose financial controls on HKS to declare dividends, maintain liquidity ratios, and comply with other financial requirements, such as collateral or corporate guarantee. HKS should read debt covenants diligently to avoid entering into overly restrictive debt covenants that could hamper Lucky's control of and the business development of HKS.

Based on the above discussions, it is advised that HKS should use short- and medium-term debt financing to organise and manage its mega event business in Hong Kong. This is because Lucky may review and evaluate HKS's financial performance annually to consider whether to continue its operations in 2-3 years in case if it cannot generate sufficient cash flow, return on equity or enhance earnings per share for Lucky. Moreover, short- and medium-term debt financing provide flexibility to Lucky to change its international expansion strategy. Lucky should also provide intercompany loans or a corporate guarantee to HKS to obtain short-to-medium-term debt financing so that it can secure lower interest rates with less restrictive debt covenants.

#### **Answer 4(a)**

The calculation of the price of corporate bond issued, total interest payments, and the bond carrying value after the total interest payment during the period are as follows:

The price of corporate bonds:

$$\begin{aligned}
 &= \{[\text{£}1,000 \times (0.06 / 2)] / (0.08 / 2)\} \times \{[1 - [1 / (1 + 0.08 / 2)^4]]\} + \text{£}1,000 / [1 / (1 + 0.08 / 2)^4] \\
 &= (\text{£}30 / 0.04) \times 0.145 + (\text{£}1,000 / 1.17) \\
 &= \text{£}108.75 + \text{£}854.7 \\
 &= \text{£}963.45
 \end{aligned}$$

| Period | Interest to Pay | Discount Amortisation | Unamortised Discount | Bond Carrying Value |
|--------|-----------------|-----------------------|----------------------|---------------------|
|        | £               | £                     | £                    | £                   |
|        |                 |                       | 73,100               | 1,926,900           |
| 1      | 60,000          | 18,275                | 54,825               | 1,945,175           |
| 2      | 60,000          | 18,275                | 36,550               | 1,963,450           |
| 3      | 60,000          | 18,275                | 18,275               | 1,981,725           |
| 4      | 60,000          | 18,275                | -                    | 2,000,000           |
|        |                 |                       |                      |                     |
| Total  | 240,000         |                       |                      |                     |

#### **Answer 4(b)**

The calculation of the total interest payments, conversion price per share, conversion ratio, and conversion value for the convertible notes are as follows:

Total interest payment =  $2,000 \times £1,000 \times 0.04 \times 2 \text{ years} = £160,000$

The conversion price per share =  $£1,000 / 20 \text{ ordinary shares} = £50$

Conversion ratio =  $£1,000 / £50 = 20 \text{ ordinary shares}$

Conversion value =  $20 \text{ ordinary shares} \times £5 = £100$

#### **Answer 4(c)**

Lucky wants to minimise interest payments for financing startup capital; therefore, it should opt for convertible notes as they require the lowest total interest payment. However, Lucky must pay attention to whether there is a risk of ownership dilution. Moreover, since Lucky expects the capital market to become more active and equity value to increase, convertible notes may be more attractive to investors. Thus, Lucky should choose convertible notes to finance the startup capital.

\* \* \* END OF SECTION A \* \* \*

## **SECTION B – ESSAY / SHORT QUESTIONS** (Total: 50 marks)

### **Answer 5(a)(i)**

Net profits: Net fixed assets of Target are HKD3,750 million x 8%  
= HKD300 million

Value under Earning Base method:  
HKD300 million x 14  
= HKD4,200 million

Consideration: HKD4,200 million x 6%  
= HKD252 million

### **Answer 5(a)(ii)**

$P = D (1 + g) / (k - g)$   
g = growth rate = 2%  
D = current dividend = HKD300 million x 93% = HKD279 million  
k = cost of equity = 7%

Value under Dividend Growth method:  
 $P = \text{HKD279 million} \times (1 + 2\%) / (7\% - 2\%)$   
= HKD5,691.6 million

Consideration: HKD5,691.6 million x 6%  
= HKD341.5 million

### **Answer 5(b)**

The valuation of Target is significantly influenced by various assumptions, such as the dividend payout ratio and the projected growth in profits. The anticipated growth in profits is simply based on an increase in the company's net assets. Although historical records may support these assumptions, these assumptions are subject to change at the discretion of Target. Consequently, a change in assumptions could have a material effect on valuation.

The estimated cost of equity is subject to fluctuations, particularly within the current volatile interest rate environment. This cost of equity also depends on the capital structure and the gearing ratio of the company. A change of Target's financing direction could significantly affect the cost of equity.

Furthermore, although the maximum profit of Target is based on its net assets, the company's profitability is influenced by a multitude of factors which could result in Target not being able to achieve its maximum profits. These include energy and fuel prices, which directly impact operational costs. Additionally, government control over electricity tariffs could also have a significant impact on Target's income.

Finally, Target's profits under the Scheme of Control agreement are limited by net fixed assets, which is highly dependent on the capital expenditure of Target. However, capital expenditure involves a huge cash payout which could affect the free cash flow of Target and potentially impact the ability for Target to distribute dividends to shareholders.

### **Answer 6(a)**

Consideration financing by the convertible bond  
 $\text{SGD20 billion} \times 6 \times 90\% = \text{HKD108 billion}$

$\text{HKD108 billion} / \text{HKD4} = 27 \text{ billion}$   
 $27 / (27 + 25) = 51.9\%$

The Tang family will hold 51.9% of Parrot after exercising the convertible bond.

Chan's holding of Parrot before exercise of convertible bond  
 $70\% \times 25 \text{ billion} = 17.5 \text{ billion}$   
 $17.5 / (27 + 25) = 33.7\%$

The Chan family will hold 33.7% of Parrot after the Tang's family exercise the convertible bond.

### **Answer 6(b)**

For company acquisitions, several legal aspects must be considered by both the acquiring party and the target entity. These considerations include laws related to competition, anti-trust, and securities. Additionally, corporate laws at both state and provincial levels add another layer to the regulatory landscape affecting mergers and acquisitions.

Both in Hong Kong and in other jurisdictions, established regulatory bodies strive to enforce frameworks governing mergers and acquisitions. These frameworks aim to promote market integrity, competition, and fairness to the advantage of market participants and consumers. They are specifically designed to foster competitive market conditions, facilitate market entry for new competitors, shield local businesses from unfair disadvantages against foreign competitors, and standardise the procedures for executing business combinations.

In Hong Kong, one of the primary regulatory frameworks of competition legislation is embodied in the Competition Ordinance (Cap.619). The regulatory guidance for business mergers and acquisitions is provided by the Hong Kong Takeovers Code, along with its underlying principles.

The New Companies Ordinance (CO) (Cap.622) also plays a significant role in regulating business combinations, with a particular focus on Part 13, which covers "Arrangements, Amalgamation, and Compulsory Share Acquisition in Takeover and Share Buy-Back". Additionally, the Securities and Futures Ordinance (SFO) (Cap.571), enforced by the Securities and Futures Commission (SFC), governs what constitutes inside information and the mandated protocols and guideline for its disclosure.

Singapore's regulatory framework regarding competition refers to the Competition Act passed in 2004 and shares similarities with the regulatory framework of the United Kingdom. The Competition Commission of Singapore is the body responsible for administering the Act, which includes powers to investigate potential breaches. The Act is designed to deter mergers and prevent market players from abusing their dominant positions and prevent mergers that substantially diminish competition. The above framework and respective legal due diligence are required, especially after the merger since their combined market share would be over 50% of total market share in Singapore.

### **Answer 6(c)**

The six assessment factors under the reverse takeovers ("RTO") principle of the Listing Rules include the relative size of acquisition, fundamental change in the issuer's principal business, nature and scale of the issuer's business, quality of acquisition targets, change in control or de facto control of the listed issuer, and change in de facto control arising from issue of restricted convertible securities.

1. The relative size of acquisition  
The acquisition of Unique represents a substantial transaction, which with its valuation at HKD120 billion (i.e. SGD20 billion x 6) would become 96% of Parrot's size. This indicates that the acquisition is very substantial in scale.
2. Fundamental change in the issuer's principal business  
The acquisition of Unique by Parrot will not result in a shift in the issuer's principal business. As both entities are engaged in property development business, the fundamental nature of the issuer's business remains unchanged. The acquisition is a strategic move to increase the market share of both jurisdictions within the same industry.
3. Nature and scale of the issuer's business  
The issuer's business, characterised by a solid operational base in property development, is expected to be enhanced by the acquisition of Unique. This move is anticipated to increase the issuer's market share and strengthen its presence in both Hong Kong and Singapore, reinforcing the scale and scope of its operations within the property development sector.
4. Quality of acquisition targets  
Unique, the acquisition target, conducts the property development business with solid foundation and legitimacy. It has the capacity for scalability, holds significant market shares, and has a considerable presence with a good reputation.
5. Change in control or de facto control of the listed issuer  
There is no change of control after the transaction as the current controlling shareholders remain the same after the acquisition, which is paid by a combination of existing cash and the proceeds of the convertible bonds issued to the current shareholders of Unique.

6. Change in de facto control arising from issue of restricted convertible securities  
There is change of control after considering the issue of convertible security, i.e. convertible bond, and, after such conversion, the shareholding of Unique's shareholders would become 51.9% (27 billion in shares), which is higher than the current major shareholders of Parrot after dilution of 33.7% (17.5 billion in shares), which would result in control being changed.

### **Answer 7(a)**

With reference to the examples of greenwashing behaviours discussed in Vollero's 2022 book "Greenwashing: Foundations and Emerging Research on Corporate", the initiatives have several problems regarding greenwashing. These include: selective or insufficient and incomplete reporting of the results of disclosure; selective disclosure; poorly defined and obscure carbon metrics demonstrated using vague, poorly defined, or methodologically opaque measurement metrics; and immaterial virtue signaling, such as announcements of limited tree planting efforts. These measures appear to display carbon awareness while constituting negligible impact in terms of overall environmental footprint.

1. Insufficient and incomplete reporting of the results of disclosure, selective disclosure and Insufficient, incomplete or inconsistent external or internal validation of ESG reporting

BE discloses energy savings from only the best-performing store, which can be misleading. The energy savings disclosure should be expanded to include average savings across all stores or to provide a range from the least to the most efficient stores. This approach of cherry-picking data is a common form of greenwashing.

The International Organisation for Standardisation ("ISO") standard covers only the human resources office and not the food processing centres or chain stores. This is probably because it is more complex and costly to attain the ISO standard for food processing centres and chain stores, and so the company has instead obtained this standard for only one of the subsidiaries responsible for back-office support, such as Finance and Human Resources. Catherine should advise that BE work towards extending the ISO standard accreditation for all business units and processes. Communications should clearly state the current scope of the accreditation to avoid any misrepresentation.

They claimed adopting the International Organisation for Standardisation ("ISO standard") on environmental protection. However, in order to obtain such ISO standard easily, they excluded food processing centers and chain store in the scope and obtain such standard on one of their subsidiaries which responsible for back-office support such as Finance and Human Resource only.

2. Poorly defined and obscure carbon metrics demonstrated using vague, poorly defined, or methodologically opaque measurement metrics

Lack of disclosure regarding the revenue contribution of the artificial meat product could suggest overrepresentation of its impact. BE should be transparent about the sales figures of the artificial meat product, especially if it contributes a small portion to the total revenue. Regardless of amount, this should be clearly communicated.

3. Immaterial virtue signaling, such as announcements of limited tree planting efforts to display carbon awareness while constituting an immaterial component in overall environmental footprint

The board of directors of BE who participate in an annual tree planting only consists of six persons. This is a positive step but could be seen as a token gesture if it is not part of a broader, more substantial environmental strategy. BE should extend such activities to a bigger group (i.e. BE's staff), and BE should ensure that this initiative is part of a larger environmental commitment. BE should also provide information on how these tree plantings contribute to the company's overall environmental goals.

### **Answer 7(b)**

As an HKICPA member, Catherine should take the following actions with reference to the Fundamental Principles and Conceptual Framework under the HKICPA Code of Ethics for Professional Accountants in business:

#### **Integrity**

The HKICPA Code mandates that accountants be straightforward and honest in all professional and business relationships and avoid involvement with any documents, filings, announcements, or any form of data if they consider it to include statements that are significantly incorrect, deceptive, or made without due consideration for accuracy. Catherine should ensure that all ESG-related disclosures are accurate and truthful. She must not be associated with any information that she believes may be misleading or false. She should advise the CEO and the board of the BE to rectify and correct any errors or omissions in previous communications once discovered.

#### **Professional Behaviour**

Catherine should comply with relevant laws and regulations. She should adhere to pertinent laws and directives and abstain from any adverse action that she is aware of which could bring disrepute to her profession, such as the violation of ESG guidelines and involvement in any greenwashing activities. Catherine should consciously avoid any form of engagement in such greenwashing activities that could jeopardise her own integrity, impartiality, or the profession's esteem, thereby conflicting with her profession's core ethical principles.

#### **Preparation and Presentation of Information**

Preparing or presenting information might create a self-interest, intimidation, or other threat to compliance with one or more of the fundamental principles. For example, a reporting manager that works for a struggling business may be faced with the temptation to prepare summary financial reports that inaccurately reflect strong operating income to increase the likelihood of being acquired, gaining new customers, or securing financing. It is the responsibility of professionals and their employing organisation to implement appropriate safeguards, such as an independent audit of financial statements in this example, to prevent inaccurate or misleading financial reporting.

\* \* \* **END OF EXAMINATION PAPER** \* \* \*